

News & Analysis

driven by the PitchBook Platform

[ARTICLES](#)[RESEARCH
CENTER](#)[All](#)

ISRAEL

'The Wiz effect': North American VCs crowd into Israel's cybersecurity scene

By [Jacob Robbins](#)

Published July 26, 2025



In the four months since [Alphabet](#) bought [Wiz](#) for a [record \\$32 billion](#), North American VCs have been piling into Israel's cybersecurity startups like never before.

But while it's a welcome sign of confidence in the ecosystem, Israeli VCs say the increased activity is pricing them out of many deals and forcing local investors to focus on other sectors.

"Founders know that the American VCs will give much more capital and a higher valuation," said [97212 Ventures](#) founding partner Eyal Bino. "A GP friend of mine at a high-quality Israeli VC told me 'I don't even see the top layer of deals anymore; they just go directly to Sequoia or Andreessen. They skipped us.'"

Join the more than 2 million industry professionals who get our daily newsletter!

Business email:*

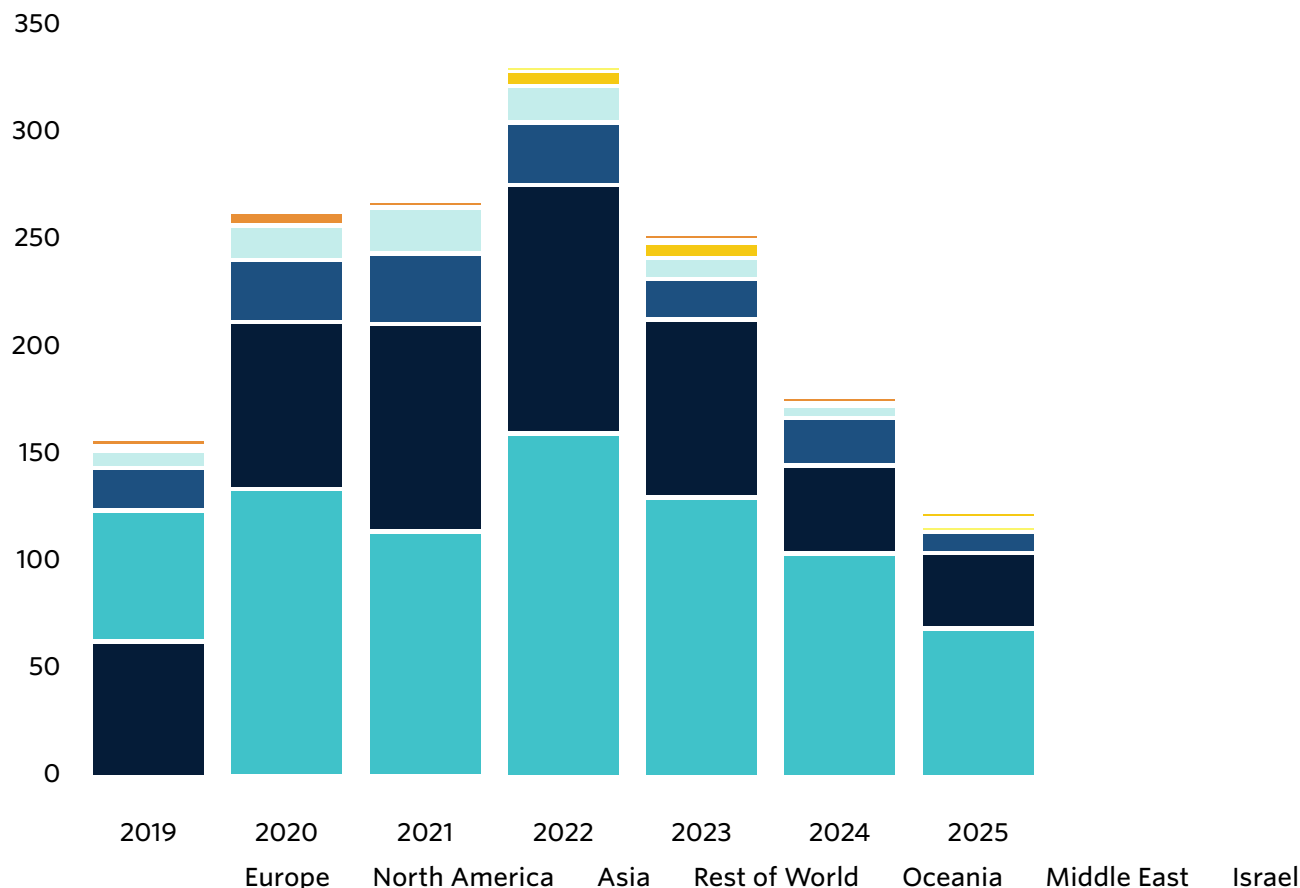
I agree to PitchBook's [privacy policy](#)

Subscribe

Since 2019, Israeli VC participation as a share of cybersecurity deals in their country has been declining, according to PitchBook data. North America-based investors have gained much of the ground, participating in more than half of all Israeli cybersecurity deals from 2023 onward.

Wiz's crowding out effect

Investor count by region in Israeli cybersecurity VC deals



Source: PitchBook • As of July 7, 2025

“It really is the Wiz effect,” said Brian Sack, partner at Tel Aviv-based [TLV Partners](#). “Everyone saw how big an outcome Wiz became in such a short period of time, and overnight ambitions grew very, very quickly.”

Since Wiz’s sale to Alphabet in March, several Israeli cybersecurity startups have raised significant capital, with two huge funding rounds in June and both with lead investors outside of Israel. [Cato Networks](#) raised a \$359 million Series G at a \$4.8 billion valuation led by [Vitruvian Partners](#) ([ION Crossover Partners](#), an Israeli firm, co-led). [Cyera](#) raised a \$540 million Series E round that doubled its valuation to \$6 billion in six months led by a group of non-Israeli investors comprising [Lightspeed](#), [Greenoaks](#) and [Georgian](#).

This is all despite Israel’s ongoing war in Gaza and escalating tensions with countries like Iran and Lebanon. According to Sack, foreign investors’ concerns have largely dissipated over time.

“Three years ago, you saw a country that was surrounded by some pretty well-funded and sophisticated enemies,” he said. “Today, you’re seeing a totally different landscape.”

Even some Israeli investors with deep cybersecurity expertise are feeling the crunch and are now honing in on other verticals to back.

“We may have a perfect background, but it doesn’t really make sense to go into these crowded areas,” said [IL Ventures](#) managing partner Yoni Heilbronn. He served in the Israel Defense Forces’ renowned cyber-focused Unit 8200 and was chief marketing officer at [Argus](#), an automotive cybersecurity startup that was acquired in 2017 for \$450 million.

Sticking to cybersecurity startups would mean he’d be left backing lower-quality companies, he concluded. Instead, Heilbronn is focusing on other verticals, such as supply-chain technology. He added that he’s noticed other Israeli VCs shift to areas like fintech and AI.

“When I started my fund, my honest assumption was that I will get the second- and third-tier companies—the best entrepreneurs and founders will go to the well-proven investors that are already there,” he said. “It’s great to do cyber, but there are a lot of opportunities elsewhere.”

Featured image by Mara Potter/PitchBook News

Learn more about our [editorial standards](#).



About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

Share:

Ta
gs
:

Israel

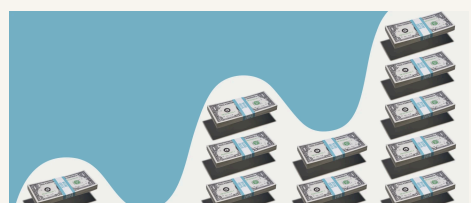
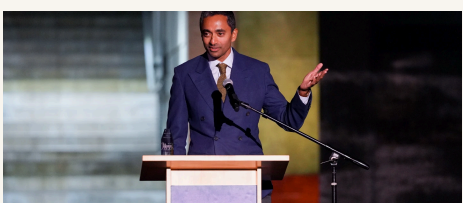
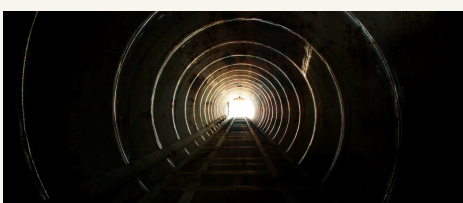
Venture Capital

Emerging Technology

Cybersecurity

Information Security

Related content



PE EXITS

5 charts: Traditional PE exits may be reopening—but mainly in North America

August 19, 2025

Europe lagged behind North America in all three routes

FEATURED

‘SPAC King’ Chamath Palihapitiya is back with a new one

August 18, 2025

The American Exceptionalism Acquisition Corp. will focus on energy, AI, decentralized finance...

IPO

Blockchain-based lender Figure files for IPO

August 18, 2025

The company has been profitable since 2024.

[Load More](#)

Products

Solutions

Data

News & Analysis

Follow us



©2025 PitchBook. Win what's next. All rights reserved.

[Terms of Use](#) [Privacy Policy](#)
[Do Not Sell or Share My Personal Information](#)
[GDPR Compliance](#)